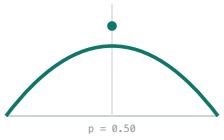
PMQ · PREDICTION-MARKET QUANT

Strategy & Research

Executive summary — where the edge actually is, and how we get to it



Prepared by **MidnightDev** midnightdev.dev

compiled 2026-07-23
US-legal rails · $10k–100k
internal — not advice

BOTTOM LINE UP FRONT

On today's prediction markets, money is made on **execution and structure**, not on predicting outcomes better than the crowd. Roughly **69% of participants lose**, and the top 1% capture **~76.5% of all profits** by providing liquidity with passive limit orders — not by having better opinions. After an adversarial research pass, **two reproducible, currently-live edges survived scrutiny**, both on Kalshi, both structural rather than predictive. The plan is to measure them net-of-fee for two weeks before risking a dollar.

01 The game, as the data actually plays it

Four verified base rates that reframe the problem from "forecast well" to "get filled well."

68.8%	76.5%	~5%	0.1%
of users have lost money since 2022	of all profits captured by the top 1%	of wallets are bots — and drive ~75% of volume	of accounts took 67% of profit (WSJ)

The implication that drives everything: retail loses on **price**, not on opinion — winners "provide liquidity using limit orders that resolve favorably," losers "take liquidity using market orders." This is an execution game. You cannot out-predict this field, but you can be positioned on the profitable side of its structural mistakes. That is what the two live edges below exploit.

02 Who the winners are, mechanically

The documented top cohort isn't one thing — it's three archetypes, only some of which a solo operator at this capital can enter.

swisstony — $16.4M lifetime, +$8.6M in 30 days. **Latency sports**: stadium-direct feeds beating the broadcast delay. Structurally closed — an infrastructure arms race.

Domer — ~$300M lifetime volume, all manual. **Resolution-criteria literacy**: reading the rules better than the crowd, resting limit orders. Partially enterable — the skill scales with discipline, not capital.

Théo — >$85M on the 2024 election. **Manufactured private data**: commissioned neighbor-polls detecting the shy-Trump effect. The lesson is proprietary data beats public-data modeling — costly to reproduce.

Our lane is none of these directly — it's the quieter, reproducible structural edge the same research surfaced: being the resting counterparty to the field's measured, persistent pricing mistakes.

03 The strategy — two live edges, one side-door

Ranked by evidence and enterability for a solo operator on US-legal venues. Each is a **hypothesis to falsify with our own net-of-fee data** — not a promise of profit.

A Kalshi favorite-longshot bias — and it doesn't shrink with scale

VERIFIED

Prices systematically overvalue longshots and undervalue favorites — present across nearly every category, weakest only in politics and entertainment. The non-obvious part: it does **not** get arbitraged away by size. Across 300k+ transactions, the largest-trade-size bucket shows the **biggest** bias, contradicting the usual "institutions correct it" assumption. Caveat: the academic finding is measured **pre-fee**.

> **Falsify:** the edge vanishes once Kalshi's live 2026 fees and the tighter-bias categories are netted out.

B Kalshi single-name maker positioning — be the counterparty

VERIFIED

Market makers in single-name markets earn ~**1.91¢ per contract vs ~0.82¢** in broad-based markets — not from wider spreads, but from a behavioral surplus: retail buys YES ~**61%** of the time in markets that resolve YES only ~**33%** of the time. The edge is absorbing that overbetting as the resting counterparty. Measured across 41.6M trades and 478k markets (Stanford / Cornell).

> **Falsify:** our own fills don't reproduce ~1.91¢/contract once *our* adverse-selection exposure — not the published aggregate — is measured.

C Polymarket US "Accelerated Tier Placement" — a rebate side-door

NEEDS LIVE CHECK

Verbatim on the live PMUS fee page: a trader can be placed into the taker-rebate tiers (10 / 25 / 50%) by proving trailing-30-day volume on **another** venue — instead of first grinding $250k/month on PMUS. If Polymarket-global volume qualifies, it materially lowers the effective cost of trading at our bankroll.

> **Falsify:** the mechanism doesn't apply cross-venue in practice, or the threshold is unreachable regardless of routing.

RULED OUT — DELIBERATELY NOT PURSUING

- **Naked sum-to-one / negRisk arbitrage** — bot-drained to ~$770/month of scraps across a whole month of NBA markets (vs $39.6M/yr in 2024).
- **Kalshi Fed-funds / macro-print markets** — professionally market-made by Susquehanna at ~100M contracts per meeting. Not an under-competed niche.
- **Naive whale-copying, reward farming, LLM forecasting** — a coin flip, adverse-selected, and no verified alpha, respectively.
- **Cross-venue arbitrage on ordinary days** — near-zero clean pairs; only episodic 2–4% dislocations around major events.

04 Why this is credible — how the research was done

Not a literature skim. A structured, adversarial pass designed to kill weak claims before they reach a strategy.

Research agents run	103
Primary / secondary sources	21
Falsifiable claims extracted	93
Claims adversarially verified	25
Confirmed (3-vote)	10
Refuted & discarded	15

Every surviving claim cleared a 3-vote adversarial check against primary sources — academic papers, official venue docs, and on-chain data. Refuted claims (including several tempting ones) were dropped, not softened. Fee constants were **live-verified** against the Polymarket US schedule during the pass, confirming the system's own math is current.

05 How we get there — measurement before money

A staged, fail-closed path. Each gate opens only when the prior one is green; paper trading is the lock on the door to live capital.

- G0 **Accounts & keys** — Kalshi demo now; PMUS KYC clock started
- G1 **Data layer proven** — recorder live, 52 tests green
- G2 **PMUS client** — confirm signing; reads only
- G3 **Measurement** — 2+ weeks, zero trading
- G4 **Paper execution** — Kalshi demo, fill telemetry
- G5 **Small live** — only what measurement earned

The discipline that makes it "proper": strategies only ever emit opportunities — a single risk-checked engine is the one path to an order, defaulting to dry-run. We do not arm live capital until paper-trading telemetry proves fills land where the edge math assumed. The measurement sprint carries a falsifiable success metric agreed up front; if it isn't hit, the lane is dead and we pivot rather than force it.

06 Risk posture & guardrails

Phase-1 caps are deliberately tiny against the bankroll; they rise only on evidence, never on optimism.

$500	$2k	$200	150bps
max notional per market	max total exposure	daily-loss halt	minimum net-of-fee edge

- Every order passes a **fail-closed risk check**; a `KILL` file switch halts trading instantly.
- **Fees are in every edge calculation** — the zero-fee era ended in early 2026.
- Cross-venue pairs trade only after a human **diffs the resolution wording** — the #1 documented loss source.
- **US-legal rails only.** Polymarket global is read-only data; no VPNs, no geo-workarounds.
- Secrets live only in a local, gitignored config — never logged, never in the repo.
- **Resolution / oracle tail-risk is real** — sized for, not ignored (multiple $M disputes on record).



Prepared by **MidnightDev** · midnightdev.dev

This is an engineering readiness summary, not investment advice. Every edge figure is a research hypothesis pending our own net-of-fee measurement; pre-fee academic results routinely do not survive live costs. Position sizing and the decision to deploy capital rest with the operator.

Prediction-market fees, rate limits, venue rules and the CFTC onshoring status change quickly; all figures were verified against primary sources on the date below and are re-verified monthly before any constant is trusted in a new period.

pmq · prediction-market quant · strategy & research executive summary · compiled 2026-07-23 · internal